SaaS Master Subscription Agreement - Enterprise Edition

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Overall Risk Score: 8 / 10

Document Summary

This Master Subscription Agreement governs the provision of cloud-based project management software by CloudTech Solutions Inc. to Acme Global Corp. on a subscription basis. It covers service provision, fees, termination, warranties, liability limitations, indemnification, confidentiality, data privacy, and dispute resolution, with terms heavily favoring the Provider.

Clause Analysis

Clause Type	Summary	Risk Level	Key Terms	Suggested Actions
Subscription Services	Provider grants Customer access to the ProjectFlow Enterprise platform for up to 500 authorized users. Customer is responsible for all user activities.	Average	500 Authorized Users, Customer responsible for user activities	Clarify whether the 500-user limit is per account or per subscription tier. Specify that Customer's liability for user actions is limited to those within the scope of authorized use.

Clause Type	Summary	Risk Level	Key Terms	Suggested Actions
Fees and Payment	Customer pays $250,000 annually in advance. Provider may increase fees upon renewal with 15 days' notice. Late payments incur 1.5% monthly interest and may result in service suspension after 10 days overdue.	High	Annual fee $250,000, 15 days notice for fee increase, 1.5% monthly late interest, 10-day suspension for non-payment	Negotiate longer notice period for fee increases (e.g., 60 days). Request a cure period before suspension (e.g., 30 days). Cap late interest at a lower rate or align with statutory maximum.
Term and Termination	Initial term is 3 years, auto-renewing annually unless 60 days' notice is given. Termination for material breach requires 30-day cure. Provider can terminate immediately for Customer insolvency. No refunds upon termination.	High	3-year initial term, Auto-renewal (60 days notice), 30-day cure period, No refunds, Immediate termination for insolvency	Negotiate a shorter initial term or option to terminate for convenience. Extend cure period to 60 days for non-payment or other breaches. Request pro-rata refund for pre-paid fees upon termination for convenience or Provider breach.

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Warranties and Disclaimers	Provider warrants Services will substantially conform to documentation. Sole remedy is correction or refund. All other warranties are disclaimed, including uninterrupted or error-free service.	High	Substantial conformance, Sole remedy: correction or refund, As-is, as-available, No warranty of uninterrupted/ error-free service	Add a warranty that Services will be provided with reasonable skill and care. Include a minimum uptime guarantee (e.g., 99.9%) with service credits. Remove or narrow the disclaimer of implied warranties to the extent permitted by law.
Limitation of Liability	Provider disclaims all indirect, consequential, and special damages. Total liability capped at fees paid in the preceding 12 months. Multiple claims do not expand the cap.	Critical	No indirect/ consequential damages, Liability cap: 12 months' fees, Multiple claims do not expand cap	Negotiate a higher cap (e.g., 2-3x annual fees) or uncapped liability for certain breaches (e.g., confidentiality, IP infringement). Exclude from cap liability for fraud, gross negligence, or willful misconduct. Ensure the cap applies per claim, not aggregate.

Clause Type	Summary	Risk Level	Key Terms	Suggested Actions
Indemnification	Customer indemnifies Provider broadly for all claims arising from Customer's use, breach, or violation of law. Provider indemnifies Customer only for IP infringement claims, with Provider controlling defense and settlement.	High	Customer indemnifies Provider broadly, Provider indemnifies only for IP infringement, Provider controls defense and settlement	Limit Customer's indemnification to claims caused by Customer's breach or negligence. Require mutual indemnification for IP infringement and other third-party claims. Allow Customer to participate in defense at its own cost and require Provider's consent for settlements that impose obligations on Customer.
Confidentiality	Both parties must protect Confidential Information using reasonable care. Confidential Information includes designated or reasonably understood confidential information. Obligations survive termination indefinitely.	Average	Reasonable care, Indefinite survival, Confidential Information definition	Define 'reasonable care' as at least the same degree of care used for own confidential information. Limit survival to a reasonable period (e.g., 3-5 years) unless trade secrets. Specify exclusions from Confidential Information (e.g., publicly known, independently developed).

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Data Privacy and Security	Provider will implement reasonable security measures. Provider may collect and use aggregated, anonymized data for improvement, benchmarking, and marketing.	High	Reasonable security measures, Aggregated/ anonymized data use, Marketing use	Specify minimum security standards (e.g., SOC 2, ISO 27001). Require Customer consent for use of anonymized data and prohibit marketing use without consent. Include data breach notification obligations with specific timelines.
Governing Law and Dispute Resolution	Governed by California law. Exclusive jurisdiction in San Francisco County, California. No application of CISG.	Average	California law, San Francisco County jurisdiction, No CISG	Consider whether California law is favorable or if a neutral venue is preferred. Negotiate for arbitration or mediation before litigation. Ensure jurisdiction is convenient for Customer.

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General Provisions	Force majeure excuses performance (except payment). Customer cannot assign without Provider consent; Provider can assign without consent in merger/acquisition. Provider may update SLA and documentation unilaterally if not materially diminished.	High	Force majeure (payment excluded), Customer assignment requires consent, Provider can assign without consent, Provider can unilaterally update SLA/docs	Require mutual consent for assignment or allow assignment to affiliates without consent. Limit Provider's unilateral amendment rights to non-material changes and require notice. Specify that force majeure does not excuse payment obligations only if payment is possible.

Recommendations

- Engage legal counsel to negotiate key risk areas, especially limitation of liability, indemnification, and data privacy.
- Request a mutual indemnification clause covering IP infringement and other third-party claims.
- Negotiate a higher liability cap and exclusions for gross negligence, fraud, and confidentiality breaches.
- Add a service level agreement with uptime guarantees and service credits.
- Specify security standards and data breach notification procedures.
- Seek longer notice periods for fee increases and auto-renewal termination.
- Clarify that Customer's responsibility for user actions is limited to authorized use.
- Consider alternative dispute resolution mechanisms like arbitration.

- Ensure the agreement complies with applicable data protection laws (e.g., GDPR, CCPA).